

Credit Score Breakdown Guide

A credit score is a numerical representation of your creditworthiness. It helps lenders determine how risky it is to lend money to you.

Factor	Weight	Explanation
Payment History	35%	Whether you pay bills on time.
Credit Utilization	30%	Percentage of credit used relative to total limit.
Length of Credit History	15%	How long your credit accounts have been open.
Credit Mix	10%	Variety of credit types (cards, loans, etc.).
New Credit	10%	Recent credit inquiries or newly opened accounts.

Tips to Improve Your Credit Score:

- Pay all bills on time.
- Keep credit utilization below 30%.
- Avoid opening many accounts in a short period.
- Maintain older accounts to build credit history.
- Check your credit report for errors regularly.